

COMMITTEE ON GOVERNMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4049
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 41-192, Arizona Revised Statutes, is amended to
3 read:

4 41-192. Powers and duties of attorney general; restrictions
5 on state agencies as to legal counsel; exceptions;
6 compromise and settlement monies

7 A. The attorney general shall have charge of and direct the
8 department of law and shall serve as chief legal officer of the state.
9 The attorney general shall:

10 1. Be the legal advisor of the departments of this state and render
11 such legal services as the departments require.

12 2. Establish administrative and operational policies and procedures
13 within ~~his~~ THE ATTORNEY GENERAL'S department.

14 3. Approve long-range plans for developing departmental programs
15 therein, and coordinate the legal services required by other departments
16 of this state or other state agencies.

17 4. Represent school districts and governing boards of school
18 districts in any lawsuit involving a conflict of interest with other
19 county offices.

20 5. Represent political subdivisions, school districts and
21 municipalities in suits to enforce state or federal statutes pertaining to
22 antitrust, restraint of trade or price-fixing activities or conspiracies,
23 if the attorney general notifies in writing the political subdivisions,
24 school districts and municipalities of the attorney general's intention to
25 bring any such action on their behalf. At any time within thirty days
26 after the notification, a political subdivision, school district or
27 municipality, by formal resolution of its governing body, may withdraw the

1 authority of the attorney general to bring the intended action on its
2 behalf.

3 6. In any action brought by the attorney general pursuant to state
4 or federal statutes pertaining to antitrust, restraint of trade, or
5 price-fixing activities or conspiracies for the recovery of damages by
6 this state or any of its political subdivisions, school districts or
7 municipalities, in addition to the attorney general's other powers and
8 authority, the attorney general on behalf of this state may enter into
9 contracts relating to the investigation and prosecution of such action
10 with any other party plaintiff who has brought a similar action for the
11 recovery of damages and with whom the attorney general finds it
12 advantageous to act jointly or to share common expenses or to cooperate in
13 any manner relative to such action. In any such action, notwithstanding
14 any other laws to the contrary, the attorney general may undertake, among
15 other things, to render legal services as special counsel or to obtain the
16 legal services of special counsel from any department or agency of the
17 United States, of this state or any other state or any department or
18 agency thereof or any county, city, public corporation or public district
19 in this state or in any other state that has brought or intends to bring a
20 similar action for the recovery of damages or its duly authorized legal
21 representatives in such action.

22 7. Organize the civil rights division within the department of law
23 and administer such division pursuant to the powers and duties provided in
24 chapter 9 of this title.

25 8. Compile, publish and distribute to all state agencies,
26 departments, boards, commissions and councils, and to other persons and
27 government entities on request, at least every ten years, the Arizona
28 agency handbook that sets forth and explains the major state laws that
29 govern state agencies, including information on the laws relating to
30 bribery, conflicts of interest, contracting with the government,
31 disclosure of public information, discrimination, nepotism, financial
32 disclosure, gifts and extra compensation, incompatible employment,
33 political activity by employees, public access and misuse of public
34 resources for personal gain. A supplement to the handbook reflecting
35 revisions to the information contained in the handbook shall be compiled
36 and distributed by the attorney general as deemed necessary.

37 B. Except as otherwise provided by law, the attorney general may:

38 1. Organize the department into such bureaus, subdivisions or units
39 as ~~he~~ THE ATTORNEY GENERAL deems most efficient and economical, and
40 consolidate or abolish them.

41 2. Adopt rules for the orderly conduct of the business of the
42 department.

43 3. Subject to chapter 4, article 4 of this title, employ and assign
44 assistant attorneys general and other employees necessary to perform the
45 functions of the department.

46 4. Compromise or settle any action or claim by or against this
47 state or any department, board or agency of this state. If the compromise

1 or settlement involves a particular department, board or agency of this
2 state, the compromise or settlement shall be first approved by the
3 department, board or agency. If no department or agency is named or
4 otherwise materially involved, the approval of the governor shall be first
5 obtained.

6 5. Charge reasonable fees for distributing official publications,
7 including attorney general legal opinions and the Arizona agency handbook.
8 The fees received shall be transmitted to the state treasurer for deposit
9 in the state general fund.

10 C. The powers and duties of a bureau, subdivision or unit shall be
11 limited to those assigned by law to the department.

12 D. Notwithstanding any law to the contrary, except as provided in
13 subsections E and F of this section, no state agency other than the
14 attorney general shall employ legal counsel or make an expenditure or
15 incur an indebtedness for legal services, but the following are exempt
16 from this section:

- 17 1. The director of water resources.
- 18 2. The residential utility consumer office.
- 19 3. The industrial commission **OF ARIZONA**.
- 20 4. The Arizona board of regents.
- 21 5. The auditor general.
- 22 6. The corporation commissioners and the corporation commission
23 other than the securities division.
- 24 7. The office of the governor.
- 25 8. The constitutional defense council.
- 26 9. The office of the state treasurer.
- 27 10. The Arizona commerce authority.
- 28 11. The water infrastructure finance authority of Arizona.
- 29 **12. THE DEPARTMENT OF CHILD SAFETY.**

30 E. If the attorney general determines that ~~he~~ **THE ATTORNEY GENERAL**
31 is disqualified from providing judicial or quasi-judicial legal
32 representation or legal services on behalf of any state agency in relation
33 to any matter, the attorney general shall give written notification to the
34 state agency affected. If the agency has received written notification
35 from the attorney general that the attorney general is disqualified from
36 providing judicial or quasi-judicial legal representation or legal
37 services in relation to any particular matter, the state agency is
38 authorized to make expenditures and incur indebtedness to employ attorneys
39 to provide the representation or services.

40 F. If the attorney general and the director of the department of
41 agriculture cannot agree on the final disposition of a pesticide complaint
42 under section 3-368, if the attorney general and the director determine
43 that a conflict of interest exists as to any matter or if the attorney
44 general and the director determine that the attorney general does not have
45 the expertise or attorneys available to handle a matter, the director is
46 authorized to make expenditures and incur indebtedness to employ attorneys

1 to provide representation or services to the department with regard to
2 that matter.

3 G. Any department or agency of this state authorized by law to
4 maintain a legal division or incur expenses for legal services from funds
5 derived from sources other than the general revenue of the state, or from
6 any special or trust fund, shall pay from such source of revenue or
7 special or trust fund into the general fund of the state, to the extent
8 such funds are available and on a reimbursable basis for warrants drawn,
9 the amount actually expended by the department of law within legislative
10 appropriations for such legal division or legal services.

11 H. Appropriations made pursuant to subsection G of this section
12 ~~shall~~ ARE not ~~be~~ subject to lapsing provisions otherwise provided by law.
13 Services for departments or agencies to which this subsection and
14 subsection F of this section are applicable shall be performed by special
15 or regular assistants to the attorney general.

16 I. Notwithstanding section 35-148, monies received by the attorney
17 general from charges to state agencies and political subdivisions for
18 legal services relating to interagency service agreements shall be
19 deposited, pursuant to sections 35-146 and 35-147, in an attorney general
20 agency services fund. Monies in the fund are subject to legislative
21 appropriation and are exempt from the provisions of section 35-190
22 relating to lapsing of appropriations.

23 J. Unless otherwise provided by law, monies received for and
24 belonging to the state and resulting from compromises and settlements
25 entered into pursuant to subsection B of this section, excluding
26 restitution and reimbursement to state agencies for costs or attorney
27 fees, shall be deposited into the state treasury and credited to the state
28 general fund pursuant to section 35-142. Monies received for and
29 belonging to the state and resulting from a compromise or settlement are
30 not considered custodial, private or quasi-private monies unless
31 specifically provided by law. On or before January 15, April 15, July 15
32 and October 15, the attorney general shall file with the governor, with
33 copies to the director of the department of administration, the president
34 of the senate, the speaker of the house of representatives, the secretary
35 of state and the staff director of the joint legislative budget committee,
36 a full and complete account of the deposits into the state treasury made
37 pursuant to this subsection in the previous calendar quarter. For the
38 purposes of this subsection, "restitution" means monies intended to
39 compensate a specific, identifiable person, including this state, for
40 economic loss.

41 <<Sec. 2. Title 41, chapter 1, article 5, Arizona Revised Statutes,
42 is amended by adding section 41-192.03, to read:

43 41-192.03. Attorney general; counsel; department of child
44 safety

45 [A. NOTWITHSTANDING ANY OTHER LAW, THE ATTORNEY GENERAL OR ANY
46 APPOINTED COUNSEL SHALL REPRESENT THIS STATE'S INTERESTS IN LAWFUL
47 COMPLIANCE AND THE INTEGRITY OF PROCEEDINGS AND NOT THE DEPARTMENT OF

1 CHILD SAFETY AS A CLIENT IN ANY DEPENDENCY, SEVERANCE, GUARDIANSHIP OR
2 ADOPTION PROCEEDING IN WHICH A PARTY, THE COURT OR AN OVERSIGHT ENTITY
3 RAISES A CREDIBLE ALLEGATION THAT THE DEPARTMENT OF CHILD SAFETY OR THE
4 DEPARTMENT'S AGENT HAS DONE ANY OF THE FOLLOWING:
5 1. FAILED TO COMPLY WITH TITLE 8 OR A COURT ORDER.
6 2. MADE A MATERIAL MISREPRESENTATION TO THE COURT.
7 3. PRESENTED INCOMPLETE, MISLEADING OR FALSE EVIDENCE.
8 4. ENGAGED IN RETALIATION, GROSS NEGLIGENCE OR WILFUL MISCONDUCT.
9 B. IN ANY PROCEEDING PURSUANT TO SUBSECTION A OF THIS SECTION, THE
10 ATTORNEY GENERAL OR ANY APPOINTED COUNSEL SHALL CONDUCT AN INDEPENDENT
11 REVIEW OF THE RECORD AND SHALL ADVISE THE COURT OF THE ATTORNEY GENERAL'S
12 OR APPOINTED COUNSEL'S LEGAL ASSESSMENT REGARDING STATUTORY COMPLIANCE,
13 EVIDENTIARY INTEGRITY AND THE APPROPRIATENESS OF THE DEPARTMENT OF CHILD
14 SAFETY'S RECOMMENDATION, INCLUDING ANY MATERIAL DISAGREEMENT WITH THE
15 POSITION OF THE DEPARTMENT.
16 C. THE ATTORNEY GENERAL OR ANY APPOINTED COUNSEL IS NOT SUBJECT TO
17 DIRECTION, RETALIATION OR ANY ADVERSE EMPLOYMENT ACTION BY THE DEPARTMENT
18 OF CHILD SAFETY FOR TAKING A POSITION INCONSISTENT WITH THE DEPARTMENT'S
19 RECOMMENDATION IN MATTERS DESCRIBED IN THIS SECTION.]>>

20 Enroll and engross to conform
21 Amend title to conform
And, as so amended, it do pass

WALT BLACKMAN
CHAIRMAN

4049GOVERNMENT.docx
02/19/2026
03:44 PM
C: AH
130BUDFWD